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PART VI

Advertisements and Notices issued by Corporate Bodies and
Private Individuals on payment

STATE BANK OF PAKISTAN

[BANKING CONDUCT & CONSUMER PROTECTION DEPARTMENT]

NOTIFICATION

April 15th, 2016

No. BCCPD/CBU-01/Policy/2016/9436

In exercise of powers conferred by Section 43 of the Credit Bureaus Act, 2015, the State Bank of Pakistan is pleased to make the following regulations-, namely:-

1. **Citation and commencement.** These regulations may be cited as the "Credit Bureaus Regulations" and shall come into force with immediate effect.
2. **Scope.** The regulations shall apply on all credit bureaus granted license by the SBP under the Credit Bureaus Act, 2015.
3. **Definitions:** In these regulations unless the context otherwise requires:-

"Act" means the Credit Bureaus Act, 2015.

"Chief Executive Officer (CEO)" means an individual who, subject to the control and directions of the Board of Directors, is entrusted with the whole, or substantially the whole, of the powers of management of the affairs of the credit bureau occupying the position of CEO and include any executive assuming charge of the bureau as an Acting CEO for interim period or by whatever name called, and whether under a contract of service or otherwise.

"Control" refers to an ownership directly or indirectly through subsidiaries, of more than one half of voting power of an enterprise.

"Director" includes any person occupying the position of a Director on the board of a credit bureau and includes sponsor, nominee and alternate Director or by whatever name called.

"Facility" includes fund based and non fund based facilities (extended in the form of Bank Guarantees, Acceptances and Letters of Credit etc.) .

"Family Member" in relation to a person means his spouse, dependent lineal ascendants and descendants and dependent brothers and sisters.

"Group" means persons, whether natural or legal, if one of them or his / her dependent family members or its subsidiary, have control or hold substantial ownership interest over the other.

"Independent Director" is a Director of the credit bureau:-

- a) who is not linked directly or indirectly with the credit bureau or its sponsors or strategic shareholders; and

- b) has not been an executive officer or employee of a subsidiary or associate company of the credit bureau or where Directors of the credit bureau has substantial beneficial interest (20% or more shareholding of Director's own or combined with family members).

"Key Executive" means key executive of credit bureau entrusted with following functional responsibilities:-

- a) Head of Internal Audit
- b) Head of Compliance
- c) Head of Information Technology
- d) Any other executive reporting directly to CEO

"Sponsor Director" means the member of the Board of Directors of a credit bureau holding sponsor shares.

"Sponsor Shares" mean 10% or more paid-up shares of a credit bureau, acquired by a person(s) individually or in concert with his / her family members, group companies, subsidiaries, and affiliates/associates.

"Subsidiary" will have the same meaning as defined in section 3 of the Companies Ordinance, 1984.

"Substantial ownership" means beneficial shareholding of more than 25% by a person and/or by his dependent family members, which will include his/her spouse, dependent lineal ascendants and descendants and dependent brothers and sisters. However, shareholding in or by the Government owned entities and financial institutions will not constitute substantial ownership, for the purpose of these regulations.

The terms not defined in these regulations shall have the same meaning as ascribed in the Act.

Regulation 1

Corporate Governance

- i. In addition to requirements set out in the Act; Sponsor Shareholder(s), Directors, Chief Executive Officer (CEO) and Key Executives of a credit bureau shall comply with the Fitness and Propriety Test (FPT) set out in Annexure-I.
- ii. Credit bureaus are required to seek prior written approval of SBP for appointment of Directors and CEO. The Directors and CEO will not assume the charge of their respective offices until their appointments are approved in writing by SBP. All such requests should be addressed to the Director, Banking Conduct and Consumer Protection Department (BC & CPD), SBP along with information prescribed in Annexure-II, III and IV.
- iii. If at any time the office of CEO becomes vacant, the credit bureau shall appoint any executive as an Acting CEO who meets FPT criteria and his / her FPT documents have been submitted to BC&CPD. The incumbent may operate the bureau as an Acting CEO until the appointment of a regular CEO upon fulfillment of regulatory requirements.
- iv. The CEO and Key Executives shall be full time employees of the credit bureau.
- v. The appointment of Key Executives will not require prior approval of SBP. However, the credit bureaus must themselves ensure while appointing Key Executives that they qualify FPT criteria in letter and in spirit. The information on appointment of Key Executives is required to be submitted to SBP on prescribed format as per Annexure-V within seven days of assumption of the charge of the post by the incumbent.
- vi. FPT criteria prescribed in these regulations are continuous in nature. Therefore, all persons subject to FPT shall immediately submit any change in the information already submitted to SBP. Violation of the instructions, circumvention, concealment, misreporting and delay in submission of information to SBP may result in punitive action.

Regulation 2

Composition of the Board

At least one third or two members, whichever is higher, of the Board of Directors of a credit bureau must be independent.

Regulation 3

Restriction on Shareholding by Financial Institutions

No Financial Institution or its sponsor shareholders shall directly or indirectly own 10% or more shares of a credit bureau. This limit will be calculated by adding shareholding of Financial Institution and their sponsor shareholders.

